WORLD TRADE ORGANIZATION (WTO)

The General Agreement on Tariffs and Trade (GATT) was established in 1 January 1948 after the end of the Second World War. It was a multilateral instrument with the aim to liberalize world trade with a view to promote economic growth and development and welfare of the people all around the globe. The significant rounds of GATT were the First Round at Geneva in 1947, the Kennedy Round of 1964–1967, the Tokyo Round of 1973–1979 and the Uruguay Round of 1986–1994. The Final Act of the Uruguay Round establishing the WTO regime was signed in 15 April 1994 during the Ministerial Meeting at Marrakesh, Morocco. With the signing of the Marrakesh Agreement the WTO came into existence on 1 January 1995.

Members can join the system of WTO through negotiation and consequently acquire memebership. For this, they have to make commitments to open their markets and to abide by the rules. These commitments arise out of membership or accession to negotiations. Countries at present negotiating membership are WTO “observers”, and they are 27 in number including the Holy See. With the exception of the Holy See, observers must start accession negotiations within five years of becoming observers. The total number of members is 157 as on 24 August 2012. Laos has negotiated its membership accession package to WTO in October 2012. After ratification, Laos will become 158th member of WTO after thirty days of ratification.

The WTO agreements provide legal basis of rules. These are negotiated in bulk and also signed by the world’s trading nations in bulk, as mentioned above, in several rounds of GATT negotiations. Currently, negotiations are on through the Doha rounds. The objective of the WTO is to ensure free trade flow by removing obstacles on the basis of rules which will be transparent and predictable.

WTO has a unique dispute settlement procedure through rulings by a panel which are then either endorsed or rejected by the all the members of WTO. Disputes may continue for a long period of time